BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Compensation and Benefits Panel

Karlene Greene
4 Irving Place
New York, New York 10003

Steven Ruffini
4 Irving Place
New York, New York 10003

Virginia Fischetti
800 Connecticut Avenue
3rd Floor
Norwalk, Connecticut 06850

Joseph McDonald
200 Cornell Drive
Berkley Heights, New Jersey 07922

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
COMPENSATION AND BENEFITS PANEL
REBUTTAL TESTIMONY

PANEL INTRODUCTION

Q. Would the members of the Compensation and Benefits Panel ("Panel") please state their names?

A. Karlene Green, Steven Ruffini, Virginia Fischetti, and Joseph McDonald.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. We previously submitted both direct testimony and update testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company").

Q. What is the purpose of this testimony?

A. We are responding to the direct testimony of the following parties:

- Staff Incentive Compensation Panel ("Staff Panel") regarding its recommendation that the Public Service Commission ("Commission") completely disallow funding for the Company's incentive-based compensation for non-officer management employees;
- Member of the Assembly ("MOA") Burdick's recommendation that the Commission should not approve the Company's recovery of executive compensation until such time as the results of the Commission's ongoing

Audit to Examine Management Incentive Compensation Programs at Electric, Gas, and Water Utilities are available, so as to inform these rate cases, as intended by the Governor; and

- MOA Levenberg's recommendation that the salaries of the Company's executives should be reduced to be more in line with the salaries of other public sector executives, like the Governor of New York.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by the Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

REBUTTAL TESTIMONY

Q. Before you address the Staff Panel's specific recommendations, do you wish to offer any general observations?

A. Yes, we do. As an initial matter, it is worthwhile to revisit certain fundamental concepts regarding the Company's compensation program. The Company is responsible for providing safe and reliable service to approximately 3.7 million electric customers and 1.1 million natural gas customers in as challenging an environment as anywhere in the world. In order to carry

out this critical mission, the Company needs to recruit and retain talented and qualified employees. Offering a competitive compensation and benefits package is absolutely essential to such recruitment and retention efforts.

Q. Has the Commission recognized that incentive compensation is a legitimate component of a utility's overall employee compensation plan.

A. Yes. As acknowledged by the Staff Panel's direct testimony (p. 2), in a 2011 Orange and Rockland Utilities, Inc. ("O&R") rate case order (*i.e.*, Case 10-E-0362, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service*, Order Establishing Rates for Electric Service (issued June 17, 2011)), the Commission recognized that incentive compensation is becoming a more common component of total compensation packages. In light of this development, in this Order (p. 40), the Commission determined that to allow the cost of incentive compensation in rates, a utility must demonstrate that its overall management compensation levels, including its incentive compensation, are reasonable relative to similarly

situated companies. This is best demonstrated through a compensation study that compares each of the elements of a utility's total management compensation, including base pay, incentive compensation and employee benefits, to the relevant market.

Q. Did the Company make such a demonstration in its initial base rate filing?

A. Yes. The Company made such demonstration through the review that Aon conducted of the Company's compensation and benefit plans for non-officer management employees and officer compensation and benefit plans ("Aon Study"). The Company included the results of the Aon Study in its initial base rate filing (*see*, Exhibits__(CBP-1) through (CBP-6)). In its direct testimony (pp. 6-7), the Staff Panel readily acknowledges its agreement with the Aon Study's conclusion that Con Edison's total compensation for its non-officers, including incentive compensation, is reasonable compared to its peers. In fact, the Company's non-officer management compensation is 94.9% of (and thus below) the market median but within the competitive range of +/- ten percent.

Q. Despite this acknowledgment, what did the Staff Panel recommend regarding funding for the Company's non-officer incentive compensation plan?

A. The Staff Panel (p. 16) recommends that the Commission disallow the total combined amount of $65,659,000 (i.e., $44,692,000 for the Management Variable Pay ("MVP") Program and $20,967,000 for the Long-Term Incentive Plan ("LTIP")) for the Company's incentive-based compensation for non-officer management employees.

Q. Does the Panel agree with the Staff Panel's recommendation?

Q. No, we do not. As we will discuss below, the Staff Panel's proposed disallowance is improper from both a macro and micro perspective. As noted previously, the Staff Panel readily acknowledges that the Company's total compensation for its non-officer management employees, including incentive compensation, is reasonable compared to its peers. The Staff Panel is not arguing that the Company's non-officer employees are somehow overcompensated because they are eligible for and recipients of the MVP Program and the LTIP.

Q. Does the MVP Program encourage the achievement of specific, predefined goals?

A. Most definitely. It serves to focus the attention of non-officer management employees on the achievement of these goals. As noted by the Staff Panel (p. 8), under the Company's MVP Program, the Company considers goals related to both Company and employee performance. The Company's goals are weighted 50 percent for Key Performance Indicators ("KPIs"), 25 percent for Net Income, and 25 percent for Operating Budget. The Company presented its 2022, 2023, and 2024 KPIs in the response to DPS Staff interrogatory DPS-274. These KPIs are related to employee and public safety, operational excellence, environmental and sustainability objectives, and customer experience and therefore directly benefit customers.

Q. Please comment on the Staff Panel's (pp. 12-13) statement that half of the MVP Program's goals, which are related to financial performance, favor shareholders over customers and therefore may be adverse to customers interests.

A. The Panel strongly disagrees with this position. Customers benefit directly from the achievement of all of the MVP Program's goals, including those goals that the Staff Panel views as related to financial performance.

The Company's efficient and cost-effective operation of its business mitigates the need for future rate increases, thereby directly benefiting customers. On an indirect basis, customers benefit from a financially healthy Company in that capital costs are typically lower, and financing is readily available and on more favorable terms. Moreover, there is less pressure on the management of a financially sound utility to delay or forego necessary expenditures, which results in more reliable utility service.

Q. Are the components of the Company's proposed MVP Program similar to those sponsored by the Company in its previous rate cases (*i.e.*, Cases 22-E-0064 and 22-G-0065)?

A. Yes. The components of the Company's MVP Program proposed in these proceedings are essentially the equivalent of those that DPS Staff had no objection to in the Company's previous rate cases. In those cases, the MVP Program had four components, with the weightings indicated: 50% KPIs, 20% net income, 15% capital budget and 15% Operation and Maintenance ("O&M") budget. Starting in 2024, and as reflected in its rate case filing in these proceedings, the MVP Program has the following components, with the weightings indicated: 50% KPIs, 25% net income; and 25%

O&M. The Staff Panel provides no explanation for its change in position.

Q. Does the Staff Panel accurately characterize the LTIP?

A. No, it does not. The Staff Panel completely ignores the critical long-term retention aspect of the LTIP. The LTIP's three-year vesting component encourages high performing employees to remain with the Company. The Company invests significant time, resources and training in its high performers. Without the retention feature of LTIP, these individuals would have less reason to remain with the Company. Over the last three years (2023-2025), there have been approximately 1,400 Company management employees who have received a restricted stock grant, with approximately 60 employees who have separated and forfeited their entire allotment (*i.e.*, 4.2% turnover). These statistics underscore the effectiveness of the LTIP. Finally, we would note that the Company's LTIP awards (on their own) are not above market and they are reasonably sized awards relative to peer organizations. In fact, more employees at the peer organizations receive LTIP awards and in higher amounts.

Q. Please address the Staff Panel's attempt to combine the MVP Program and the LTIP for evaluation purposes.

A. The Staff Panel contends (p. 15) that the MVP Program and the LTIP are "logically linked" and therefore should be evaluated together. This position is not supported by either the facts or Commission precedent. In prior rate cases, as acknowledged by the Staff Panel, the Commission considered the MVP Program as independent from the LTIP. Such an approach is wholly appropriate, as the MVP Program and the LTIP are two very separate programs. The Staff Panel argues that the two programs are "logically linked" because they are both available to non-officer management employees. This argument ignores the fact that, in comparison to the MVP Program, LTIP is awarded to a very small subset of these employees (*i.e.*, 10-20%) based on individual employee performance. While noting that LTIP awards come in the form of equity awards, the Staff Panel, as noted above, completely ignores the three-year vesting component of the LTIP.

Q. Please continue.

A. The Staff Panel argues (p. 12) that because the value of LTIP equity grants is determined by the Company's stock value, the LTIP logically promotes employee behavior that would benefit shareholders rather than customers. The Staff Panel provides no support for this conclusion.

Given the LTIP three-year vesting requirement, Staff has provided no evidence that non-officer management employees are focused on specific actions that will increase the Company's stock value three years in the future.

Q. Do you wish to respond to any other direct testimony submitted in these proceedings?

A. Yes. We wish to respond to the testimony submitted by (1) MOA Chris Burdick and (2) MOA Dana Levenberg.

Q. Please continue

A. MOA Burdick (pp. 21-22) argues that the Commission should not approve any recovery of executive compensation until such time as the results of the Commission's ongoing statewide incentive compensation audit (in Case 25-M-0043) are available. As an initial matter, it appears that MOA Burdick misunderstands the nature of the Company's proposals and the Commission's incentive compensation audit. The Company has not sought recovery for executive incentive compensation in these rate cases. The Commission's audit is focused on non-executive management compensation and thus has nothing to do with the Company's officers. More importantly, the compensation of both the Company's non-officer and

officer management employees are valid business expenses for which the Commission should allow timely recovery. The Commission's incentive compensation audit will not be concluded until July 2026 at the earliest, well after the conclusion of these proceedings. MOA Burdick has not provided any compelling rationale for delaying the Company's recovery of these legitimate expenses.

Q. Please respond to MOA Levenberg.

A. MOA Levenberg contends (p. 9) that "Con Edison should consider reducing various executive salaries to be more in line with other public sector executives, like the Governor of New York." There is no compelling justification (and MOA Levenberg offers none) to tying the compensation of the Company's executives to the Governor of New York. As noted in the Aon Study, the Company's executive compensation complies with the standards established by the Commission. Moreover, as noted in the Company's Proxy Statement dated May 19, 2025 (p. 41), Mercer, an independent compensation consultant, reviewed the Company's executive compensation plan and found it to be in line with industry peers.

Q. Does this conclude your testimony?

A. Yes, it does.